China: Activity data remained weak in May

Research Analysts

Asia Economics

Ting Lu - NIHK
ting.lu@nomura.com
+852 2252 1306

Jing Wang - NIHK
jing.wang@nomura.com
+852 2252 1011

Harrington Zhang - NIHK
harrington.zhang@nomura.com
+852 2252 2057

Hannah Liu - NIHK
hannah.liu@nomura.com
+852 2252 1082

China's NBS just released May activity data, with another month of deteriorating domestic demand and a soft rebound in industrial production (IP). Retail sales growth turned negative for the first time since the abrupt Covid reopening in late 2022, worsening to -0.6% y-o-y in May from 0.2% in April, which is below the market consensus of -0.2% but close to our forecast of -1.0%. Fixed asset investment (FAI) growth plunged to -10.7% y-o-y in May from -8.0% in April, far worse than market expectations (Consensus: -4.2%; Nomura: -4.9%). IP growth rebounded marginally to 4.5% y-o-y in May from 4.1% in April, largely in line with market expectations (Consensus: 4.4%; Nomura: 4.1%) but well below the readings of 6.1% in Q1 2026 and 5.9% in 2025.

The worsening of domestic demand increases our conviction in *our view* that both markets and policymakers should not simply assume an AI boom and a rise in stock indices will cure China's property bust-driven economic woes. The sustained weakness in IP growth reflects a limited boost from the price-driven *export boom* and lingering *supply disruptions* across energy raw materials. Despite the *US-Iran deal*, the shipment of energy supplies from Persian Gulf nations may take time to fully resume. The weak data in April-May lend support to our view that the growth rebound in Q1 was short-lived and Beijing should maintain a heightened level of fiscal spending to address exceptionally weak domestic demand. We maintain our below-consensus Q2 GDP growth forecast at 4.1% (Consensus: 4.7%). The weak economy should also prevent Beijing from allowing RMB to appreciate too quickly. Indeed, *Bloomberg* recently reported that banks have been allowed to offer higher interest rates on corporate USD deposits to slow FX conversions.

A soft rebound in industrial production growth

Headline IP growth increased to 4.5% y-o-y in May from 4.1% in April, largely in line with market expectations (Consensus: 4.4%; Nomura: 4.1%). Average IP growth in April-May was 4.3% y-o-y, well below the readings of 6.1% in Q1 2026 and 5.9% in 2025, partly due to disruptions in energy supplies from the Middle East and the limited drawdown of oil reserves. In sequential, seasonally adjusted terms, month-over-month IP growth increased to 0.40% in May from 0.05% in April (May 2025: 0.41%).

By major sector, output growth of the manufacturing and utilities sectors increased to 4.4% y-o-y and 7.6%, respectively, in May from 4.0% and 5.3% in April, while output growth of the mining sector slowed to 2.3% y-o-y in May from 3.8% in April. In line with higher growth in the utilities sector, growth of electricity production rose to 4.2% y-o-y in May from 2.6% in April. In line with lower growth in mining sector, raw coal output growth fell to -1.7% y-o-y in May from -1.0% y-o-y in April.

On major construction raw materials, output growth of crude steel and cement remained negative in May, at -2.7% y-o-y and -8.1%, respectively, little changed from -2.8% and -10.8% in April.

On electronic products, output volume growth of PCs and smartphones fell sharply to -19.4% y-o-y and -8.8%, respectively, in May from -9.3% and 4.7% in April, despite rising chip prices. In volume terms, export growth of smartphones remained negative in May, albeit rising to -3.5% y-o-y from -5.2% in April.

Due to AI-driven demand, output growth of integrated circuits (IC) increased to 22.9% y-o-y in May from 22.1% in April. The solid output growth appears inconsistent with weaker exports, as IC export growth fell further to 2.1% y-o-y in May from 3.6% in April, in volume terms.

Amid the anti-involution campaign to constrain supply, output growth of solar panels

Production Complete: 2026-06-16 04:56 UTC

remained deeply negative at -20.4% y-o-y in May, improving little from -25.6% in April.

Auto output growth fell to -3.2% y-o-y in May from -2.6% in April, while according to CPCA, volume growth of passenger car output fell to -3.1% y-o-y in May from -1.8% in April. As domestic markets still contribute about 70% of overall auto sales, the deep contraction in domestic auto sales will likely continue to weigh on auto output, despite the export strength.

Due to the price effect, growth of export-delivered value remained elevated at 10.1% y-o-y in May, little changed from 10.6% in April.

The impact of the oil-linked supply shock extended into May

With oil import volume slumping to 7.8mbpd in May, the lowest in nine years and 30% below pre-war levels, we see continued disruptions to industrial production activity, especially in oil- and chemical-related sectors.

- Output growth of crude oil processing volume dropped further to -9.1% y-o-y in May from -5.8% in April and -2.2% in March.
- Due to the acute shortage of sulfur, a by-product of petroleum refining and natural gas purification (desulfurization), output growth of sulfuric acid, hailed as the “mother of the chemical industry”, remained negative in May, albeit rising to -1.6% y-o-y from -2.2% in April (March: 6.2%).
- Due to the shortage of oil-linked raw materials, output growth of ethylene fell further to 2.1% y-o-y in May from 4.1% in April and 6.8% in March.
- Output growth of chemical fiber remained negative in May, despite rising to -3.3% y-o-y in May from -3.9% in April (March: 2.2%).
- At the sectoral level, output growth of raw chemical materials and chemical products dropped further to 0.3% y-o-y in May from 5.3% in April and 9.0% in March. IP growth in extraction of petroleum and natural gas dropped further to 1.5% y-o-y in May from 4.6% in April and 9.4% in March.

FAI growth plunged further into negative territory in May

FAI growth fell sharply further into negative territory to -10.7% y-o-y in May from -8.0% in April, marking two consecutive months of contraction and the deepest single-month decline so far this year. The result significantly undershot both market expectations and our own more pessimistic forecast (Consensus: -4.2%; Nomura: -4.9%). By sector, the plunge was broad-based, with contractions recorded in manufacturing FAI, infrastructure FAI and property FAI. The property sector slumped further and remained in deeply negative territory, remaining the primary drag.

Manufacturing investment growth was essentially flat at -4.2% y-o-y in May (April: -4.3%), which suggests the sector may have stabilised at a moderately contractionary level rather than recovering. The April Politburo meeting pointedly placed renewed focus on the ongoing "anti-involution" campaign, which has intensified significantly since July 2025 and likely continued to weigh on manufacturing FAI in May. Notably, the persistent weakness occurred despite highly robust export growth in the same month, reinforcing our view that policy-driven capacity constraints may be overriding external demand signals.

Based on our calculations, FAI growth in the motor vehicle sector – now predominantly EVs – improved slightly to -7.9% y-o-y in May from -10.4% in April, though it remained firmly in contraction. FAI growth in the electrical machinery and equipment sector, which includes both lithium-ion batteries and solar modules, fell back into negative territory, dropping to -2.3% y-o-y in May from 7.6% in April and exhibiting the sectoral reach of the anti-involution drive.

On the other hand, FAI growth in the railways, ships, aerospace and other transport equipment category – which has been one of the most notable drivers of manufacturing growth over the past two years – rebounded to 21.4% y-o-y in May from 17.8% in April. We recently highlighted the V-shaped rebound of China's shipbuilding orders in global markets, which should backstop China's ship production in coming years (*Shipbuilding one year on: China's lead endures as Washington turns to allies* , 8 June 2026).

Infrastructure investment growth plunged to -10.8% y-o-y in May from -3.7% in April, a sharp deterioration that appears difficult to reconcile with available policy signals and funding conditions. First, China is in the midst of a major nationwide push for data centre construction amid the ongoing AI super-cycle and intensifying US-China AI competition, which should in principle be supporting infrastructure outlays. Second, the issuance in May of special LGBs – a key funding source for infrastructure – was broadly on par with the same period last year, which suggests funding availability per se is not the binding constraint. The most plausible explanation, in our view, is *sluggish fiscal deposit drawdown*; that is, bond proceeds are being raised but not deployed in a timely manner. This may point to the slowness of project approval at the central government level or execution bottlenecks at the local government level rather than a shortage of financing, and suggests infrastructure FAI weakness may persist until disbursement mechanisms improve.

By ownership type, FAI growth across state-controlled entities slumped to -8.9% y-o-y in May from -6.3% in April, while private enterprise FAI growth deteriorated further to -11.8% from -11.2%. The breadth of the weakness across both ownership categories underscores the severity of the May slowdown and suggests that neither fiscal-led nor market-driven investment is providing a meaningful offset at present.

Details of the retail sales data

Retail sales growth fell short of expectations (Consensus: -0.2%; Nomura: -1.0%) by turning negative to -0.6% y-o-y in May from 0.2% in April. Using May CPI inflation of 1.2% y-o-y as a proxy deflator, real retail sales growth became more negative, falling to -1.8% y-o-y in May from -1.0% in April. The drop in retail sales growth was broad-based across categories, reflecting weak consumer sentiment, payback effects from the scaled-back trade-in program and negative price effects on petroleum and consumer electronic products, as households curtailed purchases amid surging energy and chip prices.

Auto sales growth in value terms worsened to -16.1% y-o-y in May from -15.3% in April. The deterioration in value terms was consistent with the volume growth reported by the China Passenger Car Association (CPCA). According to the CPCA, passenger car sales growth in volume terms worsened to -22.1% y-o-y in May from -20.0% in April. We also observed renewed price cuts among automakers and dealers amid mounting domestic demand pressures, following some temporary price improvements in early 2026.

Merchandise sales growth excluding autos improved to 3.3% y-o-y in May from -0.7% in April, driven by price effects from rising retail prices of petroleum and consumer electronic products amid the surge in oil and chip prices. In real terms, growth in merchandise sales excluding autos likely worsened, due to the payback effects from the trade-in program.

- Retail sales growth in home appliances, furniture and sports & entertainment remained deeply subdued at -15.6% y-o-y, -8.7% and 8.0%, respectively, in May from -15.1%, -10.4% and -8.0% in April, weighed down by payback effects from the scaled back trade-in program.
- Retail sales growth in petroleum products improved to -3.2% y-o-y in May from -6.5% April on higher retail petroleum prices. According to our estimates, growth in domestic retail petroleum prices increased to 25.6% y-o-y in May from 20.8% in April. Petroleum consumption in real terms has likely plunged by around 30% from May last year.
- Retail sales growth in communication appliances plunged to 0.7% y-o-y in May from 6.2% in April, driven by both payback effects from the trade-in program and negative price effects as consumers reduced purchases when surging chip prices passed through to final selling prices. Meanwhile, growth in office appliances sales improved to -1.5% y-o-y in May from -6.9% in April, as rising prices more than offset volume effects.

Catering services growth drifted lower to 0.6% y-o-y in May from 2.2% in April, suggesting weak consumer sentiment amid the perennial property crisis. Growth in sales by designated restaurants with annual revenue above RMB2mn turned negative at -1.7% y-o-y in May, down from 0.9% in April. This likely reflects both lingering effects from the anti-involution campaign imposed last year, and weak household purchasing power and consumer sentiment despite the decent stock market performance amid the AI boom.

The property contraction deepened further in May

Property investment growth worsened to -24.3% y-o-y in May from -20.1% in April, below the market consensus forecast of -15.0% but close to our more cautious forecast of -20.0%. New home sales growth fell to -13.1% y-o-y by floor space and to -9.5% by value in May from -9.5% and -7.7%l, respectively, in April. For other major property indicators, growth of new home starts, new home completions and funds for property investment reached -24.6% y-o-y, -19.9% and -21.5%, respectively, in May, compared with -26.6%, -18.8% and -21.8% in April.

Home price declines widened again in May, despite resilience in top-tier cities
Average new home prices declined by 0.20% m-o-m in May, widening from a 0.19% decrease in April. Existing home prices, which might better reflect the trend of home prices in China, declined by 0.26% m-o-m in May, worsening again after the price decline narrowed over four straight months to the 0.23% decrease in April. Among the NBS sample of 70 cities, 10 cities recorded month-on-month increases in existing home prices in May, down from 12 in April and 13 in March.

By city tier, the change in average existing home prices in tier-1 cities edged down to 0.35% m-o-m in May from 0.40% in April. Positive gains were reported again across all tier-1 cities in May: 0.1% m-o-m in Beijing (April: 0.4%), 0.6% in Shanghai (0.7%), 0.6% in Guangzhou (0.1%) and 0.6% in Shenzhen (0.3%). Home price declines in tier-2 cities widened to -0.19% m-o-m in May from -0.10% in April, while the decline in tier-3/4 cities remained the deepest and unchanged at -0.35%.

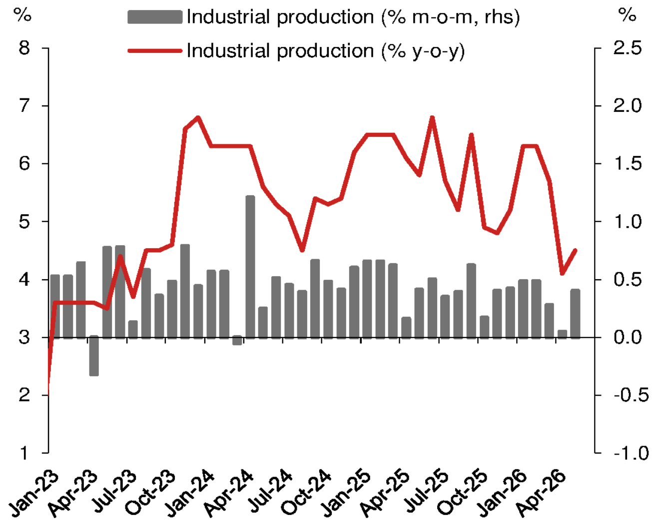
The May home price data are largely in line with the Iceberg index, a leading indicator based on the lowest listing housing prices, which recorded a 0.3% m-o-m decline in *May* , following a 0.4% decrease in April. As the fruits of AI-driven growth are mainly reaped by a few selected “smart” cities, especially the four top-tier ones, a real property market recovery may only take place in those cities. This is especially the case, as most cities have lifted restrictions on home sales and purchases since late 2022, making a full-blown recovery of the national property market even more far-fetched. The dire situation in most part of China, mainly small cities, is likely to persist, due to sustained population flows and deeply pessimistic expectations. Indeed, the Iceberg index weekly data indicated a decline of 0.4% m-o-m in the first two weeks of June, worsening from a 0.3% decline in May and a 0.4% decline in April.

Fig. 1: China's major economic indicators

Indicators	Unit	May 26	Apr 26	Q1 26	Q4 25	2025	2024
Economic survey							
Official mfg PMI	Index	50.0	50.3	49.6	49.4	49.6	49.8
Official non-mfg PMI	Index	50.1	49.4	49.7	49.9	50.2	50.9
RatingDog mfg PMI	Index	51.8	52.2	51.1	50.2	50.3	50.8
Activity							
Industrial production (IP)	% y-o-y	4.5	4.1	6.1	5.0	5.9	5.8
Crude steel output (volume)	% y-o-y	-2.7	-2.8	-4.6	-11.1	-4.4	-1.7
Steel product output (volume)	% y-o-y	-2.8	-1.7	-1.7	-2.4	3.1	1.1
Electricity production (volume)	% y-o-y	4.2	2.6	3.4	3.6	2.2	4.6
Non-ferrous metal output (volume)	% y-o-y	2.2	2.8	3.6	4.2	3.9	4.3
Cement output (volume)	% y-o-y	-8.1	-10.8	-7.1	-10.2	-6.9	-9.5
Auto output (volume)	% y-o-y	-3.2	-2.6	-5.7	3.6	9.8	4.8
Retail sales	% y-o-y	-0.6	0.2	2.4	1.7	3.7	3.5
Merchandise excl. auto & catering	% y-o-y	3.3	-0.7	3.4	4.2	4.9	3.8
Auto	% y-o-y	-16.1	-15.3	-9.1	-6.6	-1.5	-0.5
Catering	% y-o-y	0.6	2.2	4.2	3.1	3.2	5.3
Delivered value for exports (RMB)	% y-o-y	10.1	10.6	7.1	0.3	2.2	5.1
Fixed asset investment (FAI) ytd	% y-o-y	-4.1	-1.6	1.7	-3.8	-3.8	3.2
FAI	% y-o-y	-10.7	-8.0	1.7	-12.8	-3.8	3.2
Infrastructure investment	% y-o-y	-10.8	-3.7	9.2	-13.4	-1.5	9.2
Manufacturing investment	% y-o-y	-4.2	-4.3	4.1	-7.3	0.6	9.2
Inflation							
CPI	% y-o-y	1.2	1.2	0.9	0.6	0.0	0.2
Food price	% y-o-y	-1.7	-1.6	0.4	-0.5	-1.5	-0.6
Non-food price	% y-o-y	1.9	1.8	0.9	0.8	0.4	0.4
PPI	% y-o-y	3.9	2.8	-0.6	-2.1	-2.6	-2.2
Trade							
Exports (USD)	% y-o-y	19.4	14.1	14.7	3.8	5.5	5.8
Imports (USD)	% y-o-y	27.4	25.3	23.0	3.4	0.2	1.0
Trade balance	USD bn	105	85	263	312	1183	993
Money and credit							
Outstanding aggregate financing	% y-o-y	7.7	7.8	7.9	8.3	8.3	8.0
Outstanding RMB loan	% y-o-y	5.5	5.6	5.7	6.4	6.4	7.6
M0	% y-o-y	11.9	12.2	12.5	10.2	10.2	13.0
M1	% y-o-y	5.5	5.0	5.1	3.8	3.8	1.2
M2	% y-o-y	8.6	8.6	8.5	8.5	8.5	7.3
New aggregate financing	RMB bn	2,026	624	14,826	5,518	35,603	32,259
New RMB loan	RMB bn	520	-10	8,600	1,520	16,270	18,090
Corporate bond	RMB bn	168	452	1,047	819	2,392	1,909
Government bond	RMB bn	1,224	904	3,544	2,376	13,837	11,295
Fiscal position							
Fiscal revenue	% y-o-y		6.7	2.4	-7.9	-1.7	1.3
Fiscal expenditure	% y-o-y		-3.2	2.6	-4.2	1.0	3.7
Revenue from land sales	% y-o-y		-34.9	-24.4	-24.3	-14.7	-16.0
Property market							
Property investment ytd	% y-o-y	-16.2	-13.7	-11.2	-17.2	-17.2	-10.6
Property investment	% y-o-y	-24.3	-20.1	-11.2	-29.5	-17.2	-10.6
Property sales (value)	% y-o-y	-9.5	-7.7	-17.8	-24.1	-12.6	-17.1
Floor space sold	% y-o-y	-13.1	-9.5	-11.4	-16.9	-8.7	-12.9
Floor space started	% y-o-y	-24.6	-26.6	-21.2	-25.3	-20.4	-23.0
Funds for property development	% y-o-y	-21.5	-21.8	-17.0	-27.7	-13.4	-17.0
New home completion	% y-o-y	-19.9	-18.8	-26.2	-21.0	-18.1	-27.7
Homes under construction	% y-o-y	-12.3	-12.1	-11.7	-10.0	-10.0	-12.7

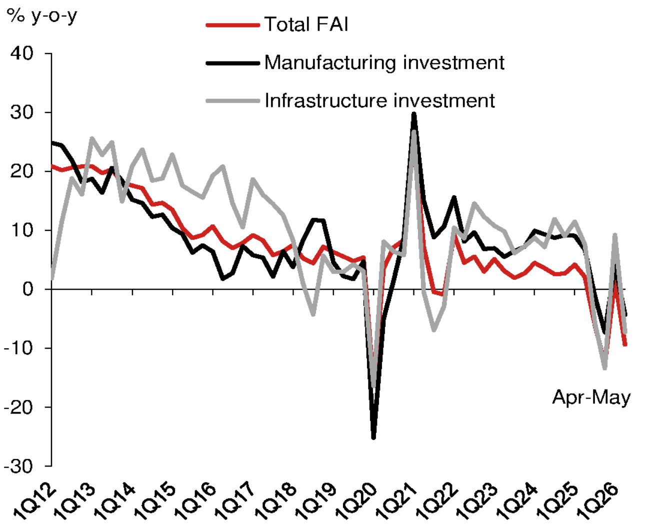
Source: Wind, Nomura Global Economics.

Fig. 2: Industrial production growth : y-o-y vs m-o-m



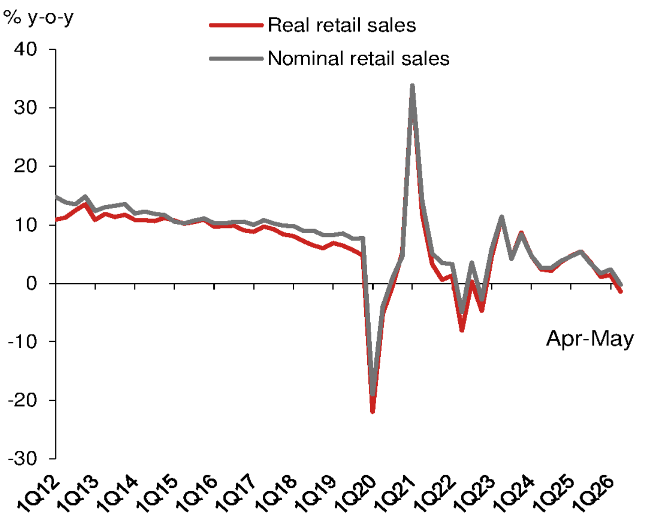
Source: Wind, Nomura Global Economics.

Fig. 3: FAI growth and breakdown (quarterly)



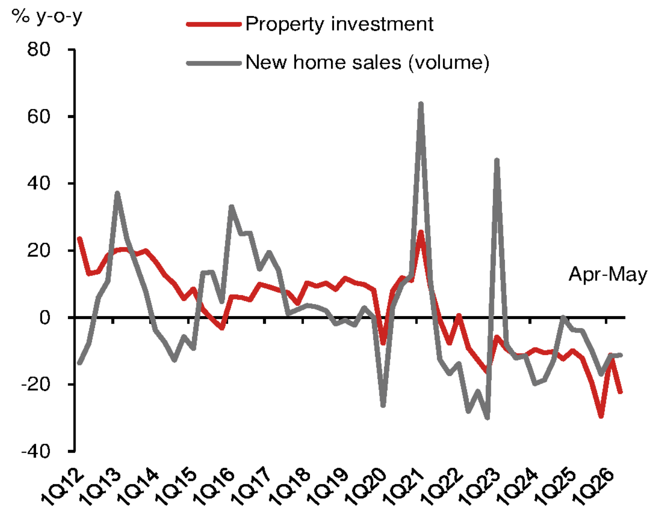
Source: Wind, Nomura Global Economics.

Fig. 4: Retail sales growth: real vs nominal (quarterly)



Source: Wind, Nomura Global Economics.

Fig. 5: Major property-related indicators (quarterly)



Source: Wind, Nomura Global Economics.

Fig. 6: Breakdown in retail sales growth

Categories in retail sales	Share		% y-o-y					
	% of retail sales	% of above-size						
	2025		May 26	Apr 26	Q1 26	Q4 25	2025	2024
Total retail sales	100.0		**-0.6**	**0.2**	**2.4**	**1.7**	**3.7**	**3.5**
Catering services	11.6		0.6	2.2	4.2	3.1	3.2	5.3
Goods	88.4		-0.7	-0.1	2.2	1.5	3.8	3.2
Firms above designated size	37.0	100.0	-5.2	-4.9	2.0	-0.9	3.4	2.7
Autos	9.9	26.9	-16.1	-15.3	-9.1	-6.6	-1.5	-0.5
Petroleum products	4.5	12.1	-3.2	-6.5	-6.4	-8.3	-5.7	0.3
Food	4.8	12.9	1.9	4.1	10.0	6.4	9.3	9.9
Garments & footwear	3.0	8.2	3.8	3.6	9.3	3.5	3.2	0.3
Home appliances	2.3	6.3	-15.6	-15.1	0.0	-17.6	11.0	12.3
Daily necessities	1.7	4.7	1.6	3.5	5.9	3.4	6.3	3.0
Medicines	1.5	3.9	4.0	4.2	2.4	3.2	1.8	3.1
Communication appliances	2.0	5.4	0.7	6.2	20.8	21.6	20.9	9.9
Tobacco & liquor	1.3	3.5	4.8	11.7	16.0	-0.7	2.7	5.7
Office appliances	1.0	2.8	-1.5	-6.9	9.3	11.5	17.3	-0.3
Cosmetics	0.9	2.5	2.5	4.7	5.9	8.2	5.1	-1.1
Gold & jewelry	0.7	2.0	-8.9	-21.3	12.6	17.3	12.8	-3.1
Beverages	0.7	1.8	6.1	3.6	6.7	3.9	1.0	2.1
Decoration materials	0.3	0.9	-13.6	-13.8	-4.7	-12.4	-2.7	-2.0
Furniture	0.4	1.1	-8.7	-10.4	1.9	1.2	14.6	3.6
Sports & entertainments	0.3	0.9	-8.0	-8.0	1.9	6.5	15.7	11.1

Source: Wind, Nomura Global Economics.

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd. (NIHK), Hong Kong.
See Disclaimers for Nomura Group entity details.

Analyst Certification

We, Ting Lu, Jing Wang, Harrington Zhang and Hannah Liu, hereby certify (1) that the views expressed in this Research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this Research report, (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this Research report and (3) no part of our compensation is tied to any specific investment banking transactions performed by Nomura Securities International, Inc., Nomura International plc or any other Nomura Group company.

Important Disclosures

Online availability of research and conflict-of-interest disclosures

Nomura Group research is available on www.nomuranow.com/research, Bloomberg, Capital IQ, Factset, LSEG.
Important disclosures may be read at http://go.nomuranow.com/research/m/Disclosures or requested from Nomura Securities International, Inc.
If you have any difficulties with the website, please email grpsupport@nomura.com for help.

The analysts responsible for preparing this report have received compensation based upon various factors including the firm's total revenues, a portion of which is generated by Investment Banking activities. Unless otherwise noted, the non-US analysts listed at the front of this report are not registered/qualified as research analysts under FINRA rules, may not be associated persons of NSI, and may not be subject to FINRA Rule 2241 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Nomura Global Financial Products Inc. (NGFP) Nomura Derivative Products Inc. (NDP) and Nomura International plc. (NIplc) are registered with the Commodities Futures Trading Commission and the National Futures Association (NFA) as swap dealers. NGFP, NDPI, and NIplc are generally engaged in the trading of swaps and other derivative products, any of which may be the subject of this report.

Disclaimers

This publication contains material that has been prepared by the Nomura Group entity identified on page 1 and, if applicable, with the contributions of one or more Nomura Group entities whose employees and their respective affiliations are specified on page 1 or identified elsewhere in this publication. The term "Nomura Group" used herein refers to Nomura Holdings, Inc. and its affiliates and subsidiaries including: (a) Nomura Securities Co., Ltd. ('NSC') Tokyo, Japan, (b) Nomura Financial Products Europe GmbH ('NFPE'), Germany, (c) Nomura International plc ('NIplc'), UK, (d) Nomura Securities International, Inc. ('NSI'), New York, US, (e) Nomura International (Hong Kong) Ltd. ('NIHK'), Hong Kong, (f) Nomura Financial Investment (Korea) Co., Ltd. ('NFIK'), Korea (Information on Nomura analysts registered with the Korea Financial Investment Association ('KOFIA') can be found on the KOFIA Intranet at http://dis.kofia.or.kr, (g) Nomura Singapore Ltd. ('NSL'), Singapore (Registration number 197201440E, regulated by the Monetary Authority of Singapore) (h) Nomura Australia Ltd. ('NAL'), Australia (ABN 48 003 032 513), regulated by the Australian Securities and Investment Commission ('ASIC') and holder of an Australian financial services licence number 246412, (i) Nomura Securities Malaysia Sdn. Bhd. ('NSM'), Malaysia, (j) NIHK, Taipei Branch ('NITB'), Taiwan, (k) Nomura Financial Advisory and Securities (India) Private Limited ('NFASL'), Mumbai, India (Registered Address: Ceejay House, Level 11, Plot F, Shivsagar Estate, Dr. Annie Besant Road, Worli, Mumbai- 400 018, India; Tel: 91 22 4037 4037, Fax: 91 22 4037 4111; CIN No: U74140MH2007PTC169116, SEBI Registration No. for Stock Broking activities : INZ000255633; SEBI Registration No. for Merchant Banking : INM000011419; SEBI Registration No. for Research: INH000001014 - Compliance Officer: Ms. Pratiksha Tondwalkar, 91 22 40374904, grievance email: investorgrievancesra@nomura.com Webpage: LINK

For reports with respect to Indian public companies or authored by India-based NFASL research analysts: (i) Investment in securities markets is subject to market risks. Read all the related documents carefully before investing. (ii) Registration granted by SEBI, and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. (iii) NFASL terms and conditions for availing research services is disclosed on NFASL webpage.

(l) Nomura Fiduciary Research & Consulting Co., Ltd. ('NFRC') Tokyo, Japan. (m) Nomura Orient International Securities Co., Ltd ("NOI"), is a majority owned joint venture amongst Nomura Group, Orient International (Holding) Co., Ltd, and Shanghai Huangpu Investment Holding (Group) Co., Ltd. In accordance with the laws of the People's Republic of China ("PRC", excluding Hong Kong, Macau and Taiwan, for the purpose of this document), NOI is licensed in the PRC to provide securities research and investment recommendations and it operates independently from the other members of the Nomura Group; in particular, NOI's interests in PRC securities are not disclosed to, or aggregated with the holdings of, any other Nomura Group entities and the interests in PRC securities of other Nomura Group entities are not disclosed to, or aggregated with the holdings of, NOI. An individual name printed next to NOI on the front page of a research report indicates that individual is employed by NOI to provide research assistance to NIHK under a research partnership agreement. 'NSFSPL' next to an employee's name on the front page of a research report indicates that the individual is employed by Nomura Structured Finance Services Private Limited to provide assistance to certain Nomura entities under inter-company agreements. 'Verdhana' next to an individual's name on the front page of a research report indicates that the individual is employed by PT Verdhana Sekuritas Indonesia ('Verdhana') to provide research assistance to NIHK under a research partnership agreement and neither Verdhana nor such individual is licensed outside of Indonesia.

THIS MATERIAL IS: (I) FOR YOUR PRIVATE INFORMATION, AND WE ARE NOT SOLICITING ANY ACTION BASED UPON IT; (II) NOT TO BE CONSTRUED AS AN OFFER TO SELL OR A SOLICITATION OF AN OFFER TO BUY ANY SECURITIES IN ANY JURISDICTION WHERE SUCH OFFER OR SOLICITATION WOULD BE ILLEGAL; AND (III) OTHER THAN DISCLOSURES RELATING TO THE NOMURA GROUP, BASED UPON INFORMATION FROM SOURCES THAT WE CONSIDER RELIABLE, BUT HAS NOT BEEN INDEPENDENTLY VERIFIED BY NOMURA GROUP.

Other than disclosures relating to the Nomura Group, the Nomura Group does not warrant, represent or undertake, express or implied, that the document is fair, accurate, complete, correct, reliable or fit for any particular purpose or merchantable, and to the maximum extent permissible by law and/or regulation, does not accept liability (in negligence or otherwise, and in whole or in part) for any act (or decision not to act) resulting from use of this document and related data. To the maximum extent permissible by law and/or regulation, all warranties and other assurances by the Nomura Group are hereby excluded and the Nomura Group shall have no liability (in negligence or otherwise, and in whole or in part) for any loss howsoever arising from the use, misuse, or distribution of this material or the information contained in this material or otherwise arising in connection therewith.

Opinions or estimates expressed are current opinions as of the original publication date appearing on this material and the information, including the opinions and estimates contained herein, are subject to change without notice. The Nomura Group, however, expressly disclaims any obligation, and therefore is under no duty, to update or revise this document. Any comments or statements made herein are those of the author(s) and may differ from views held by other parties within Nomura Group. Clients should consider whether any advice or recommendation in this report is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The Nomura Group does not provide tax advice.

The Nomura Group, and/or its officers, directors, employees and affiliates, may, to the extent permitted by applicable law and/or regulation, deal as principal, agent, or otherwise, or have long or short positions in, or buy or sell, the securities, commodities or instruments, or options or other derivative instruments based thereon, of issuers or securities mentioned herein. The Nomura Group companies may also act as market maker or liquidity provider (within the meaning of applicable regulations in the UK) in the financial instruments of the issuer. Where the activity of market maker is carried out in accordance with the definition given to it by specific laws and regulations of the US or other jurisdictions, this will be separately disclosed within the specific issuer disclosures.

This document may contain information obtained from third parties, including, but not limited to, ratings from credit ratings agencies such as Standard & Poor's. The Nomura Group hereby expressly disclaims all representations, warranties or undertakings of originality, fairness, accuracy, completeness, correctness, merchantability or fitness for a particular purpose with respect to any of the information obtained from third parties contained in this material or otherwise arising in connection therewith, and shall not be liable (in negligence or otherwise, and in whole or in part) for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use or misuse of any of the information obtained from third parties contained in this material or otherwise arising in connection therewith. Reproduction and distribution of third-party content in any form is prohibited except with the prior written permission of the related third-party. Third-party content providers do not, express or implied, guarantee the fairness, accuracy, completeness, correctness, timeliness or availability of any information, including ratings, and are not in any way responsible for any errors or omissions (negligent or otherwise), regardless of the cause, or for the results obtained from the use or misuse of such content. Third-party content providers give no express or implied warranties, including, but not limited to, any warranties of merchantability or fitness for a particular purpose or use. Third-party content providers shall not be liable (in negligence or otherwise, and in whole or in part) for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use or misuse of their content, including ratings. Credit ratings are statements of opinions and are not statements of fact or recommendations to purchase hold or sell securities. They do not address the suitability of securities or the suitability of securities for investment purposes, and should not be relied on as investment advice.

Any MSCI sourced information in this document is the exclusive property of MSCI Inc. ('MSCI'). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be duplicated, reproduced, re-disseminated, redistributed or used, in whole or in part, for any purpose whatsoever, including creating any financial products and any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all representations, warranties or undertakings of originality, fairness, accuracy, completeness, correctness, merchantability or fitness for a particular purpose with respect to any of this material or the information contained in this material or otherwise arising in connection therewith. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability (in negligence or otherwise, and in whole or in part) for any damages of any kind. MSCI and the MSCI indexes are services marks of MSCI and its affiliates.

The intellectual property rights and any other rights, in Russell/Nomura Japan Equity Index belong to Nomura Fiduciary Research & Consulting Co., Ltd. ("NFRC") and FTSE Russell ("Russell"). NFRC and Russell do not guarantee fairness, accuracy, completeness, correctness, reliability, usefulness, marketability, merchantability or fitness of the Index, and do not account for business activities or services that any index user and/or its affiliates undertakes with the use of the Index.

Investors should consider this document as only a single factor in making their investment decision and, as such, the report should not be viewed as identifying or suggesting all risks, direct or indirect, that may be associated with any investment decision. Nomura Group produces a number of different types of research product including, among others, fundamental analysis and quantitative analysis; recommendations contained in one type of research product may differ from recommendations contained in other types of research product, whether as a result of differing time horizons, methodologies or otherwise. The Nomura Group publishes research product in a number of different ways including the posting of product on the Nomura Group portals and/or distribution directly to clients. Different groups of clients may receive different products and services from the research department depending on their individual requirements.

Figures presented herein may refer to past performance or simulations based on past performance which are not reliable indicators of future or likely performance. Where the information contains an expectation, projection or indication of future performance and business prospects, such

laws of the Republic of Indonesia. The securities mentioned in this document may not be offered or sold in Indonesia or to persons who are citizens of Indonesia (wherever they are domiciled or located) or entities of or residents in Indonesia in a manner which constitutes a public offering under the laws of the Republic of Indonesia.
An individual name printed next to NOI on the front page of a research report indicates that this document is a translation of a research report issued by NOI in the PRC. In all other cases, this document is prepared by Nomura Group or its subsidiary or affiliate (collectively, “Offshore Issuers”) that is not licensed in the PRC to provide securities research. This research report is not approved or intended to be circulated in the PRC. The A-share related analysis (if any) is not produced for any persons located or incorporated in the PRC. The recipients should not rely on any information contained in this research report in making investment decisions and Offshore Issuers take no responsibility in this regard.
NO PART OF THIS MATERIAL MAY BE (I) COPIED, PHOTOCOPIED, REPRODUCED OR DUPLICATED IN ANY FORM, BY ANY MEANS; OR (II) REDISSEMINATED, REPUBLISHED OR REDISTRIBUTED WITHOUT THE PRIOR WRITTEN CONSENT OF A MEMBER OF THE NOMURA GROUP. If this document has been distributed by electronic transmission, such as e-mail, then such transmission cannot be guaranteed to be secure or error-free as information could be intercepted, corrupted, lost, destroyed, arrive late or incomplete, or contain viruses. The sender therefore does not accept liability (in negligence or otherwise, and in whole or in part) for any errors or omissions in the contents of this document, which may arise as a result of electronic transmission. If verification is required, please request a hard-copy version.

Nomura Securities Co., Ltd.

Financial instruments firm registered with the Kanto Local Finance Bureau (registration No. 142)
Member associations: Japan Securities Dealers Association; Investment Management Association of Japan; The Financial Futures Association of Japan; Type II Financial Instruments Firms Association; and Japan Security Token Offering Association.

The Nomura Group manages conflicts with respect to the production of research through its compliance policies and procedures (including, but not limited to, Conflicts of Interest, Chinese Wall and Confidentiality policies) as well as through the maintenance of Chinese Walls and employee training.
Additional information regarding the methodologies or models used in the production of any investment recommendations contained within this document is available upon request by contacting the Research Analysts of Nomura listed on the front page. Disclosures information is available upon request and disclosure information is available at the Nomura Disclosure web page:
http://go.nomuranow.com/research/m/Disclosures